Type MS · Poverty and inequality: meanings and why governments act

Answer 1 of 10 · Question 2 part e · 3 marks

2023 JAN · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** invisible exports A is not correct because this is trade in goods leaving the country B is not correct because this is trade in goods entering the country D is not correct because this is money leaving the country	**(1)**

Question Number	Which **one** of the following is likely to help protect the environment? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **A** An increase in fines B is not correct because this will allow more pollution C is not correct because this will reduce control of pollution D is not correct because this will reduce protected areas of the environment	**(1)**

Question Number	State **one** possible disadvantage of economic growth. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct disadvantage • Inflation • Damage to the environment • Using up unsustainable resources Accept any other appropriate response	**(1)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 1 of 10 · Question 2 part e · 3 marks

2023 JAN · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

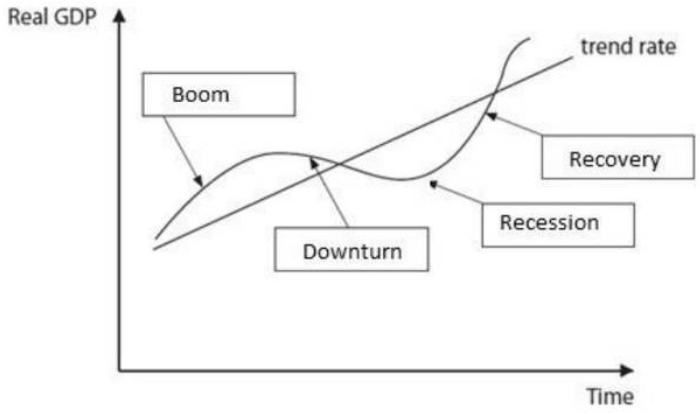
Question Number	What is meant by the term privatisation? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to selling a government controlled activity and 1 mark to private investors The act of selling a company/activity controlled by the government **(1)** to private investors **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** possible reason why the Scottish Government wants to reduce poverty and inequality. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to meet basic needs **(1)**. Many people do not have enough income for food and shelter **(1)**. By investing £37.2m fewer low income households may suffer from poverty **(1)** • One reason is to raise standards of living **(1).** Low income households would be able to access more goods and services **(1)** resulting in fewer low income households suffering from relative poverty **(1)** Accept any other appropriate response	**(3)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 1 of 10 · Question 2 part e · 3 marks

2023 JAN · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Using the diagram below, draw and label the remaining **three** stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for downturn, labelled Award 1 mark for recession, labelled Award 1 mark for recovery, labelled  	**(3)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 1 of 10 · Question 2 part e · 3 marks

2023 JAN · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the likely impact on the demand for US exports to Australia after the depreciation of the US dollar. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A depreciation is where the value of currency falls relative to another currency • A depreciation of the US dollar against the Australian dollar may result in an increase in the amount of exports of goods between the US and Australia • This is because US exports are now cheaper to purchase as fewer Australian dollars are required to be exchanged for US dollars • This could result in more exports of machinery, vehicles, medical instruments and aircraft between the two countries • This could further improve the trade balance between the US and Australia if more exports are traded compared to imports **AO4** • However, a depreciation of the US dollar may not result in an overall increase in exports of goods between the US and Australia • The impact will depend on the size and duration of the depreciation • The impact will also depend on PED for US exports • The amount of goods traded between the two countries will not just depend on the exchange rate between the US and Australia • The quality of US exports is a factor in whether Australia will purchase more US made goods, not just the exchange rate	**(9)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 1 of 10 · Question 2 part e · 3 marks

2023 JAN · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Poverty and inequality: meanings and why governments act

Answer 1 of 10 · Question 2 part e · 3 marks

2023 JAN · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	What was the rate of inflation if the consumer price index (CPI) of a country rose from 120 to 150? **Answer**	Mark

Type MS · Poverty and inequality: meanings and why governments act

Answer 2 of 10 · Question 2 part d · 2 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO2 1 mark** **C** $51 100	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** **C** Monetary	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct impact • Leakage from the economy • Problems finding foreign reserves to fund the deficit • Can be inflationary • Unemployment • Falling output/GDP Accept any other appropriate responses	**(1)**

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to household income and 1 mark for reference to basic needs. A condition where household income is below a necessary level **(1)** to provide the basic needs for survival **(1)**	**(2)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 2 of 10 · Question 2 part d · 2 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage of an appreciating currency Award 1 mark for developing the disadvantage Award 1 mark for the disadvantage being in context • A deterioration of the current account **(1).** A stronger value of the Thai baht leads to falling export sales **(1)** resulting in a larger trade deficit for Thailand's economy **(1)** • Reduced economic growth for the economy of Thailand **(1)** The price of exports should rise because of the stronger baht **(1)** This may result in a decrease in demand for goods/services **(1)** Accept any other appropriate response.	**(3)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 2 of 10 · Question 2 part d · 2 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible negative effect Award 1 mark for developing the possible negative effect Award 1 mark for the effect being in context • Pollution from business activity **(1).** Many firms create air and noise pollution from making goods **(1)** which can negatively affect local communities near to factories in China **(1)** • More waste from production and consumption of goods and services **(1).** Waste must be disposed of in landfill sites **(1).** This can cause a health hazard to Chinese residents near to areas of waste disposal **(1)** Accept any other appropriate response	**(3)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 2 of 10 · Question 2 part d · 2 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The report indicates that parks decrease health costs, through encouraging exercise and reducing air pollution • This reduces government expenditure on health care and improves the lives and productivity of the population • Parks and open spaces not only provide benefits to people but also protect wildlife and ecosystems within an urban area • Parks can be used for recreational purposes and a place for children to play which can reduce negative externalities for a government • Depending on their size, parks can bring in tourism revenue to local restaurants, hotels, snack shops, and stores • Parks can host festivals, concerts and athletics events, bringing additional boosts to the local economy **AO4** • However, there is an opportunity cost to the government in providing parks and open spaces • This area of land could be used for other purposes such as housing or for commercial development which may create jobs and increase output • There is a cost in creating and maintaining the park which must be funded by the government, as the park is free to use • The overall benefits will depend on how many people use the park and if there are alternative ways to protect the environment/reduce pollution such as pollution permits, regulation or fines	**(9)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 2 of 10 · Question 2 part d · 2 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Type MS · Poverty and inequality: meanings and why governments act

Answer 2 of 10 · Question 2 part d · 2 marks

2019 JUN · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark

Type MS · Poverty and inequality: meanings and why governments act

Answer 3 of 10 · Question 2 part d · 2 marks

2020 JAN · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO2 1 mark** **B** Progressive	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** **D** Indirect taxes	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct method. • taxation • subsidy • regulation • fines • pollution permits • government provision of parks Accept any other appropriate responses.	**(1)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 3 of 10 · Question 2 part d · 2 marks

2020 JAN · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to standard of living and 1 mark for reference to typical standards in society The standard of living is below **(1)** the typical living standards in that society **(1)**. **OR** In the EU it is 60% **(1)** of the median income **(1)** Accept any other appropriate responses.	**(2)**

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage using a fine Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that this can raise a large amount of revenue **(1)**. The parking fines have raised £10.4m which could be used to improve public services **(1)** This can lead to increased economic growth in the Manchester area **(1)**. • One advantage is that it stops motorists parking illegally **(1)**. Having to pay a fine of £30 reduces the income of motorists **(1)**. This means that there might be an increase in the number of people using public transport rather than cars **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 3 of 10 · Question 2 part d · 2 marks

2020 JAN · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason Award 1 mark for developing the possible reason Award 1 mark for the response being in context • One reason is that not all income from earnings is declared/the hidden economy **(1)**. Some people under declare their earning from jobs such as taxi driving **(1)**. This reduces the amount of Greece's GDP which is accurately recorded **(1)**. • One reason is some countries record GDP differently **(1)**. Some activities such as subsistence farming in Greece may not be included in GDP figures **(1)**. Therefore, Greece's GDP figures may not be an accurate record of the total economic activity in an economy **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 3 of 10 · Question 2 part d · 2 marks

2020 JAN · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Seasonal workers are employed at particular times of the year when demand for labour is higher than usual • Seasonal employment is often associated with industries such as agriculture, tourism and construction • The New Zealand Government could use supply-side policies to try and encourage the recruitment of more seasonal workers into the kiwifruit industry • This can be done by offering financial incentives to firms for training and hiring the long term unemployed in the area to work on the kiwifruit farms • The New Zealand Government could ensure that there are lower income tax rates to encourage working rather than relying on welfare benefits • The New Zealand Government may offer financial incentives for the kiwifruit growers to invest in more capital intensive farming methods which remove the need for labour **AO4** • However, supply-side policies can take a very long time to be effective • Training and the hiring of new workers may take a long time and the industry needs 1,200 workers immediately to pick the remaining 70% of the crop • Many workers may prefer to remain unemployed due to the seasonal nature of the industry, preferring more stable employment • There is a financial cost to the government of offering any incentives to the kiwifruit industry which could be spent on other areas of the economy • It could be argued that the shortage of workers should be resolved by the kiwifruit industry rather than the government and the shortage could be due to poor wages or working conditions

Type MS · Poverty and inequality: meanings and why governments act

Answer 3 of 10 · Question 2 part d · 2 marks

2020 JAN · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Poverty and inequality: meanings and why governments act

Answer 3 of 10 · Question 2 part d · 2 marks

2020 JAN · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Poverty and inequality: meanings and why governments act

Answer 4 of 10 · Question 2 part c · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

2(a)	**AO2 1 mark** A an increase in exports and a decrease in imports	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** C GDP	**(1)**

Question Number	**Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** reason • To meet basic needs • To raise living standards • For ethical reasons Accept any other appropriate response	**(1)**

Question Number	**Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to structures and 1 mark for reference to being needed for the economy The systems/structures such as the transport network **(1)** needed for the operation of an economy **(1)** Accept any other appropriate response	**(2)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 4 of 10 · Question 2 part c · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that direct tax revenues may increase **(1).** By having more workers in employment paying income tax **(1)** results in an increase in tax revenues for the German Government to spend in the economy **(1)** • One impact is that indirect tax revenues may increase **(1).** With more people in employment, demand for goods and services may increase **(1).** Taxes such as VAT for the German Government can then be used for government expenditure **(1)** Accept any other appropriate response	**(3)**

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Some foreign-made toys may fail to follow requirements for product safety in the manufacturing process **(1).** This could result in unsafe toys being bought by UK consumers **(1).** The unsafe products may cause serious illness and even possibly death of a child **(1)** • The country of origin may have lower safety standards **(1).** The UK may have higher safety standards compared to other countries **(1).** This may have resulted in toys which are unsafe for UK consumers **(1)** Accept any other appropriate response	**(3)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 4 of 10 · Question 2 part c · 1 mark

2020 NOV · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Deregulation is a supply-side policy of making markets more competitive by removing barriers such as regulations • Regulations such as labour laws often create additional costs for firms which makes them less competitive in comparison to firms abroad • Experts have advised the government to reduce regulation in markets such as finance and transport • Removing labour market regulations such as a reduction in the minimum wage may result in the tourism sector reducing its overall labour costs and therefore being able to employ more workers • This may result in a reduction in the 11.6% rates of 15-29 year olds • Removing competition laws in the finance sector may also result in more firms entering the market and therefore employing workers and thereby reducing unemployment in South Korea **AO4** • However, deregulation may just result in firms saving on labour costs but not employing anymore workers • Reducing the minimum wage may result in less people willing and able to work thereby increasing unemployment rather than reducing it • Regulations are designed to protect workers, the environment and consumers so any removal of them may result in negative consequences for South Korea and lower standards of living • There are other supply-side policies such as lower income tax to encourage working which might be more effective in reducing unemployment • The overall effectiveness will depend on a range of economic factors within the South Korea economy not just the level of regulation	**(9)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 4 of 10 · Question 2 part c · 1 mark

2020 NOV · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Poverty and inequality: meanings and why governments act

Answer 4 of 10 · Question 2 part c · 1 mark

2020 NOV · Paper 02 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Poverty and inequality: meanings and why governments act

Answer 5 of 10 · Question 2 part b · 1 mark

2021 JUN · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **D** A decrease in exports and an increase in imports A is not correct because an appreciation would result in a decrease in exports and an increase in imports B is not correct because an appreciation would result in a decrease in exports and an increase in imports C is not correct because an appreciation would result in a decrease in exports and an increase in imports	**(1)**

Question Number	Which **one** of the following is likely to result in poverty? Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** Low GDP per capita A is not correct because this can result in people gaining jobs and therefore income C is not correct because economic agents would retain more of their income D is not correct because more people are in paid employment	**(1)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 5 of 10 · Question 2 part b · 1 mark

2021 JUN · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	State **one** effect on the balance of payments of improved quality of foreign goods. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct effect • Higher imports • Worsened balance of payments • Lower exports • Increased deficit • Worsened surplus Accept any other appropriate response	**(1)**

Question Number	What is meant by the term free trade? Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to the import/export of goods and 1 mark for reference to not being taxed Goods/services coming into or going out of a country **(1)** which are not controlled/taxed **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** impact of rising unemployment on consumer confidence for a country such as Argentina. Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being context • One impact is that consumer confidence is likely to fall **(1)**. High rates of unemployment of 10.1% may make consumers more cautious **(1)**. This can cause lower levels of consumer spending **(1)** Accept any other appropriate response	**(3)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 5 of 10 · Question 2 part b · 1 mark

2021 JUN · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** reason why the reduced cost of communication has helped to increase globalisation. Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is the internet makes it cheaper to communicate with other overseas markets **(1)**. Many small firms are able to use e-commerce marketplaces such as Alibaba **(1)**. This allows firms of all sizes to sell to a wider geographical area/trade globally **(1)** • One reason is that you do not need face to face meetings **(1)**. The internet allows for communication via videoconferencing/online meetings **(1)**. These improvements in communication links mean it is easier for international businesses to interact **(1)** Accept any other appropriate response	**(3)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 5 of 10 · Question 2 part b · 1 mark

2021 JUN · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the use of taxation to protect the environment in a country such as Germany. Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Taxation can be imposed on activities that damage the environment • Taxation is used to ensure consumers and producers pay the full social cost of producing a good or service • Increasing taxation from 7% to 19% would substantially increase the price of meat for consumers which may result in less demand for meat products • This would reduce the amount of greenhouse gas emissions caused by animals • Increased taxation could also raise additional revenue for the German Government • This could be used to finance other pollution reduction schemes or improve animal welfare • Taxation provides a market incentive for firms and consumers to switch to meat alternatives which may not cause as much environmental damage **AO4** • However, increasing taxes on meat may reduce incomes for farmers if demand falls for meat products • Increasing taxes on meat products may reduce the choice for consumers of what food they can afford, particularly low-income families • Demand for meat may be quite inelastic and an increase in tax may do little to reduce demand and therefore only marginally reduce the amount of pollution • There are other methods that might be more effective in protecting the environment, such as subsidies, fines or pollution permits • The German Government should use a combination of methods to protect the environment

Type MS · Poverty and inequality: meanings and why governments act

Answer 5 of 10 · Question 2 part b · 1 mark

2021 JUN · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Type MS · Poverty and inequality: meanings and why governments act

Answer 5 of 10 · Question 2 part b · 1 mark

2021 JUN · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	What is the total amount of revenue raised by indirect taxes? Answer	Mark

Type MS · Poverty and inequality: meanings and why governments act

Answer 6 of 10 · Question 2 part b · 1 mark

2021 NOV · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **B** Higher exports A is not correct because this is likely to increase inflation C is not correct because this is likely to create employment D is not correct because this is decided by the government	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** Relative poverty A is not correct because this is not having the means to survive B is not correct because this describes the range of incomes in an economy D is not correct because this refers to the disincentive effect of benefit payments	**(1)**

Question Number	**Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct effect • Lower demand for imports • Improved balance of payments • Higher demand for exports • Reduced deficit • Improved surplus Accept any other appropriate responses	**(1)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 6 of 10 · Question 2 part b · 1 mark

2021 NOV · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	**Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to the components of fiscal policy and 1 mark for reference to (aggregate) demand Decisions about government spending, taxation and borrowing **(1)** that affect (aggregate) demand in the economy **(1)** Accept any other appropriate response	**(2)**

Question Number	**Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that business confidence is likely to fall **(1)**. High rates of unemployment of 44% may make businesses more cautious **(1)**. This is because there will be fewer people able to purchase goods/services from firms **(1)** Accept any other appropriate response	**(3)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 6 of 10 · Question 2 part b · 1 mark

2021 NOV · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	**Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that more goods are able to be transported at the same time **(1)**. This reduces the cost of trading between countries **(1)**. This means increased trade which leads to globalisation **(1)** • One reason is that goods can be cheaply transported long distances **(1)** resulting in more firms being able to source products from low-cost countries **(1)**. This increased trade between countries leads to more globalisation **(1)** Accept any other appropriate response	**(3)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 6 of 10 · Question 2 part b · 1 mark

2021 NOV · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	**Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Healthcare provides medicines and medical treatments to increase the overall health of the nation • The external benefit of providing healthcare to an individual often exceeds the private benefit • Free access to healthcare means that illnesses can be treated quickly therefore improving life expectancy across all age groups in England • This can help to reduce inequality and poverty by enabling the population to work and gain income from being fit and healthy • Having a healthier workforce reduces the amount of sickness absence and potentially improves labour productivity • This could result in economic growth and therefore help to reduce poverty and inequality in England • Healthcare also provides many jobs for healthcare workers including nurses, doctors and by building new hospitals **AO4** • However, providing free healthcare cost the tax payer £134bn in 2020 • There is an opportunity cost of spending so much money on healthcare which could be spent on other poverty reduction methods • Having a healthcare system which is free means that there is often an excess demand for healthcare, leading to the NHS being constantly overstretched • This results in shortages of hospital beds and may not reduce poverty and inequality • There are other methods that might be more effective in reducing poverty and inequality, such as education or progressive taxation • There should be a combination of methods used to reduce poverty and inequality in England

Type MS · Poverty and inequality: meanings and why governments act

Answer 6 of 10 · Question 2 part b · 1 mark

2021 NOV · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Poverty and inequality: meanings and why governments act

Answer 6 of 10 · Question 2 part b · 1 mark

2021 NOV · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Poverty and inequality: meanings and why governments act

Answer 7 of 10 · Question 3 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

3(a)	**AO2 1 mark** The only correct answer is: **D** 5% A is not correct because this answer is calculated by 1 - 5% B is not correct because this answer is calculated by 1 + 5% C is not correct because this answer is calculated by (50/$1050) x 100	**(1)**

Question Number	Which **one** of the following terms means someone not having enough resources to meet all of their basic needs? Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **C** Absolute poverty A is not correct because this describes the range of incomes in an economy B is not correct because this describes someone having a lower standard of living in comparison to the average person in society D is not correct because this refers to the gap between the rich and the poor	**(1)**

Question Number	Explain one possible reason why the US Government introduced this subsidy. Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to protect domestic firms **(1).** Subsidies allow firms to lower prices **(1)** encouraging consumers to switch to US-manufactured cars with US-made batteries **(1).** • One reason is to increase exports **(1)**. Subsiding cars by $500 can make exports of cars with US-made batteries more competitive **(1)**. This can result in greater export earnings and improve the current account **(1).** Accept any other appropriate response	**(3)**

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Type MS · Poverty and inequality: meanings and why governments act

Answer 7 of 10 · Question 3 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the benefits of free trade for domestic firms located within the RCEP. Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • The RCEP accounts for nearly 30% of global GDP and has 15 member countries • Firms located within the RCEP would be able to easily access a much wider market for their goods and services in the other member countries thereby increasing sales • Expansion into new countries without any trade barriers could help to reduce risk if demand falls within their own country • Tariffs will be removed for trade between all 15 member countries • Therefore any firms operating within the free trade area will be able to export to the other countries without these additional costs • Trade within the RCEP countries could allow firms to obtain essential inputs at a much lower cost than can be found domestically	**(6)**

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Type MS · Poverty and inequality: meanings and why governments act

Answer 7 of 10 · Question 3 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

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Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

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Type MS · Poverty and inequality: meanings and why governments act

Answer 7 of 10 · Question 3 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the impact of rising unemployment rates in the North East of England. Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Unemployment occurs when people of working age who are both willing and able to work cannot find a job • Rising levels of unemployment such as 5.3% will result in lower economic growth as a large part of the workforce will be unproductive in the North East of England • There will be a much greater burden on the UK Government to provide benefits to the unemployed in the region • At the same time tax revenues in the North East will be lower meaning less is available to spend elsewhere • The UK Government may have to provide more education and training schemes to help people enter employment • There may be an increase in relative poverty within the region as unemployed workers have no income apart from benefits from the UK Government **AO4** • However, high rates of unemployment may help some firms compete • Some firms within the North East may find it easier to recruit from a larger pool of workers due to the 5.3% unemployment rate • Some firms may see a reduction in labour costs if there are high levels of unemployment due to fewer wage demands • The number of people claiming benefits did in fact fall indicating that perhaps the rise in the unemployment rate was due to voluntary unemployment • Therefore the impact might not as be as severe if this was the case • The overall impact will depend upon the type of unemployment, the duration and the state of the economy in the North East of England	**(9)**

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Type MS · Poverty and inequality: meanings and why governments act

Answer 7 of 10 · Question 3 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

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Type MS · Poverty and inequality: meanings and why governments act

Answer 7 of 10 · Question 3 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Calculate, to two decimal places, the rate of unemployment in the Netherlands in December 2021. You are advised to show your working. Answer	Mark

Type MS · Poverty and inequality: meanings and why governments act

Answer 8 of 10 · Question 1 part c · 2 marks

2023 NOV · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** The tax rate increases as income increases A is not correct because this does not describe a characteristic of progressive taxation B is not correct because this this does not describe a characteristic of progressive taxation/ is regressive D is not correct because progress taxation is not linked to GDP	**(1)**

Question Number	Which **one** of the following describes a fiscal surplus? **Answer**	Mark
1(b)	**AO1 1 marks** The only correct answer is: **D** Government revenue is greater than government expenditure A is not correct because this describes current account surplus B is not correct because this describes a current account deficit C is not correct because this describes a fiscal deficit	**(1)**

Question Number	What is meant by the term income inequality? **Answer**	Mark
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Differences in income **(1)** between different groups of earners **(1)** **OR** The unequal/uneven distribution of income **(1)** throughout an economy/a society **(1)** Accept any other appropriate response	**(2)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 8 of 10 · Question 1 part c · 2 marks

2023 NOV · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

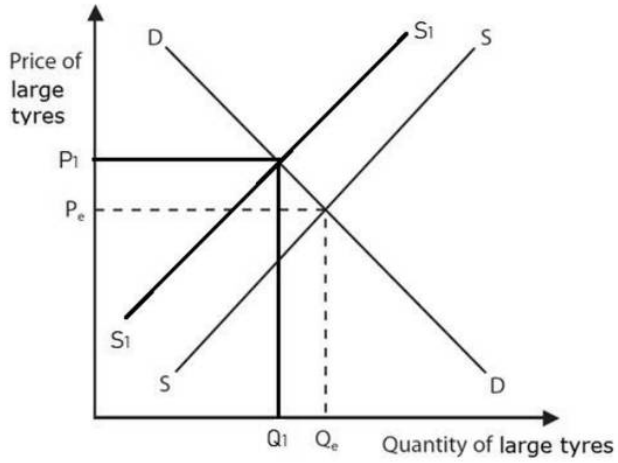
Question Number	Describe **one** role of the World Trade Organization (WTO). **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the role and 1 mark for development of the role It helps to settle trade disputes between countries **(1)** by acting as a mediator to find a solution **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation $\frac{(34 \text{ million} - 32 \text{ million})}{34 \text{ million}} \times 100$ **(1)** **OR** $\frac{2 \text{ million}}{34 \text{ million}} \times 100$ **(1)** Award 1 mark for the correct answer = 5.88% **(1)** Award 2 marks if the correct answer is 5.88% even if no calculations are shown Award 1 mark if the answer given is 5.88 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 8 of 10 · Question 1 part c · 2 marks

2023 NOV · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of large tyres. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a leftward shift of supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 8 of 10 · Question 1 part c · 2 marks

2023 NOV · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** advantage of free trade for businesses in Ecuador. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that businesses can access a wider market **(1).** Trade barriers will be removed for products such as bananas **(1)** which could help to increase total sales and revenue **(1)** • One advantage is that there could be lower input costs **(1).** Trade barriers will be removed for imports from China **(1)** which could help businesses to sell goods for lower prices in the domestic market **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the impact of high rates of inflation on consumer confidence in a country such as Germany. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumer confidence is an economic indicator that gauges consumers' perception of the economy • High rates of inflation could reduce confidence in Germany • Inflation reduces purchasing power and a rate of 10.4% will result in many consumers experiencing a reduction in living standards • This is because they cannot afford to purchase the same amount of goods and services • Consumer confidence will fall and may make them more cautious and less willing to borrow money • Savings may increase to safeguard against the future • High rates of inflation can cause uncertainty for many consumers making it difficult to plan ahead if prices are rising so much	**(6)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 8 of 10 · Question 1 part c · 2 marks

2023 NOV · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
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Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
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Type MS · Poverty and inequality: meanings and why governments act

Answer 8 of 10 · Question 1 part c · 2 marks

2023 NOV · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	What is the main reason for a government to devalue its currency? **Answer**	Mark

Type MS · Poverty and inequality: meanings and why governments act

Answer 9 of 10 · Question 2 part d · 2 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **B** Number of unemployed/Total labour force x 100 A is not correct because this calculates the labour force participation rate C is not correct because this calculates the employment rate D is not correct because this calculates the unemployment rate as a percentage of the total population	**(1)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 9 of 10 · Question 2 part d · 2 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Which **one** of the following describes a role of the World Trade Organization (WTO)? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **A** Help with trade negotiations B is not correct because this is not carried out by the WTO C is not correct because the WTO does not offer financial assistance to any countries D is not correct because the WTO does not get involved in exchange rate fluctuations	**(1)**

Question Number	State **one** possible reason for a current account surplus. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible reason • Improving quality of domestic goods • Poorer quality of foreign goods • Lower price of domestic goods • Higher price of foreign goods • Depreciating exchange rate • Value of exports is greater the value of imports Accept any other appropriate response	**(1)**

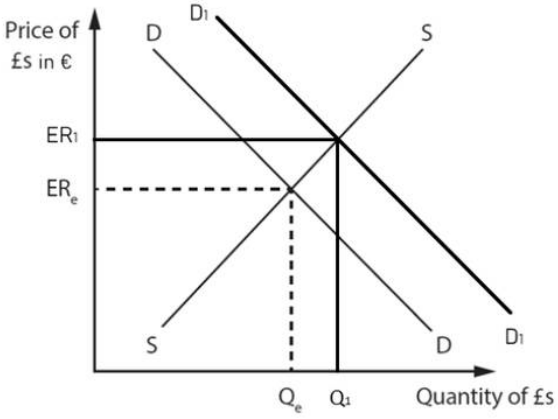
Question Number	What is meant by the term relative poverty? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition The standard of living is below **(1)** the typical average living standards in that society **(1)** Accept any other appropriate response	**(2)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 9 of 10 · Question 2 part d · 2 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** benefit of asset purchasing by a central bank such as the ECB. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that this can lead to higher levels of consumer and business spending **(1).** Purchasing assets injects money into the economy **(1)** which can stimulate economic growth **(1)** • One benefit is (aggregate) demand will increase **(1)** because of the increase in the flow of money from central banks to commercial banks **(1).** This extra money can be loaned to consumers and firms **(1)** Accept any other appropriate response	**(3)**

Question Number	Using the diagram below, draw the likely effect of this rise in UK interest rates on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a rightward shift of demand, labelled Award 1 mark for a higher equilibrium exchange rate, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 9 of 10 · Question 2 part d · 2 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess how a recovery may affect unemployment for a country such as China. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The recovery phase follows a recession and is marked by an increase in economic activity • As Chinese firms begin to recover from the downturn, they may increase production and hire more workers, particularly in the services and construction sectors, to meet the rising demand for goods and services • This can lead to an increase in job creation and a decrease in unemployment • During the recovery phase consumer confidence may increase leading to higher consumer spending and further stimulating economic growth • This can also lead to increased job creation as Chinese firms respond to the higher demand for their products or services • As the Chinese economy improves and consumer demand increases, there may be more opportunities for individuals to start their own firms and create jobs for themselves and others **AO4** • However, there are also potential challenges to job creation during the recovery phase • Chinese firms may be hesitant to hire new workers if they are concerned about the sustainability of the recovery or uncertain about future economic conditions • The 5% economic growth target might not be achieved and some analysts expect the growth in exports to be temporary • During the recovery phase, firms may take advantage of the improving economic conditions to invest in new technologies or automation that could replace some jobs with machines • This could lead to job losses in certain sectors or industries • Some sectors of the Chinese economy may recover more slowly than others so unemployment may not fall in all sectors of the economy	**(9)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 9 of 10 · Question 2 part d · 2 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

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Type MS · Poverty and inequality: meanings and why governments act

Answer 9 of 10 · Question 2 part d · 2 marks

2024 JUN · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question Number	What is the fiscal deficit/surplus? **Answer**	Mark

Type MS · Poverty and inequality: meanings and why governments act

Answer 10 of 10 · Question 1 part a · 1 mark

2024 NOV · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** For basic needs to be met A is not correct because it is not a legal requirement for a government to do this B is not correct because this will increase inequality D is not correct because this will increase poverty	**(1)**

Question Number	Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **D** It is easy to compare economic growth between countries A is not correct because it does not measure how economic growth is distributed amongst the population B is not correct because it does not take into account all economic activity C is not correct because it does not take into account inflation	**(1)**

Question Number	What is meant by the term deflation? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition A reduction **(1)** in the general level of prices for goods and services **(1)** Accept any other appropriate response	**(2)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 10 of 10 · Question 1 part a · 1 mark

2024 NOV · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

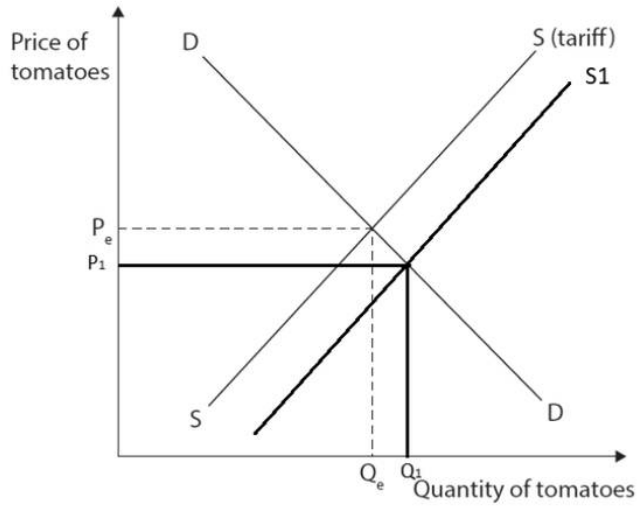
Question Number	Describe the impact of a reduction in the cost of communication on globalisation. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the impact and 1 mark for the development of the impact One impact is an increase in globalisation **(1)** because firms can communicate/trade with each other more easily **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **invisible trade balance** in $bn for the country. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for export of services – import of services $26bn - $16bn **(1)** Award 1 mark for the correct answer = $10bn **(1)** Award 2 marks if the correct answer is $10bn even if no calculations are shown Award 1 mark if the answer given is 10 even if no calculations are shown Do not award marks for the formula.	**(2)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 10 of 10 · Question 1 part a · 1 mark

2024 NOV · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of tomatoes in India. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  **Figure 2**	**(3)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 10 of 10 · Question 1 part a · 1 mark

2024 NOV · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** reason why governments use fines. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that it can deter individuals/firms from breaking the law **(1).** Very high fines of $1m will negatively affect the individuals/firms **(1)** this is likely to encourage individuals/firms to make sure they follow the law so people do not get injured **(1)** • One reason is that it can raise revenue for the government **(1).** Fines imposed on firms that break laws can be very high **(1)** and can give the government money to spend on compensating people affected by laws being broken **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse how high levels of cost-push inflation affect business confidence in a country such as Türkiye. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Higher energy costs of 157.2% can raise production and transportation costs resulting in an increase in raw material prices and overall costs of production • Higher production costs can lead to lower profits for firms in Türkiye • This is because firms may not be able to pass on the full cost of inflation to consumers in the form of higher prices reducing business confidence • When costs rise faster than firms can adjust their prices, profit margins get squeezed reducing business confidence • Firms may struggle to plan for the future. This is because they are not sure what energy prices will be like in the future causing uncertainty • This uncertainty can erode business confidence as firms are unsure about the future success of their operations	**(6)**

Type MS · Poverty and inequality: meanings and why governments act

Answer 10 of 10 · Question 1 part a · 1 mark

2024 NOV · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

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Type MS · Poverty and inequality: meanings and why governments act

Answer 10 of 10 · Question 1 part a · 1 mark

2024 NOV · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system? **Answer**	Mark